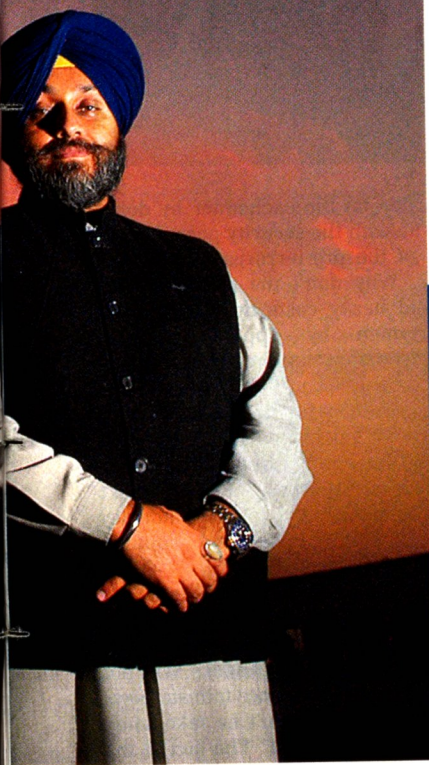


PARKASH SINGH BADAL
AND SUKHBIR BADAL



and to those below the poverty line. The trend was started by the Congress and the present Akali regime carried on with it. The populist free-power scheme has bled Punjab, rendering it unable to purchase electricity from other states to meet its own demand. Most areas in the state reel under seven to 10 hours of outage everyday throughout the year.

The question is whether the farmers are actually gaining. "Surely not a majority of them. Thirty per cent farmers take away 50 per cent of agricultural subsidy and the benefit of free power in urban areas goes to the rich," says Sucha Singh Gill, professor of economics at Patiala's Punjabi University. "If they must give subsidy, they should rationalise it so that it reaches the targeted class."

Fighting a losing battle is Manpreet who has spoken against the subsidies and freebies many times only to be spurned by the leadership—

won't stop for us. If we don't take steps now, we will be left far behind," says the finance minister.

Noted agro-economist S.S. Johl says, "It's a failure of governance. By the time the Government completes its term in 2012, the state's debt will grow up to Rs 75,000 crore. This means that it won't have means to borrow money to pay off the interest, which will be around Rs 7,000 crore. I see no financial discipline in the Government. Tax evasion is going unchecked. On one permit people are driving eight to 10 buses. Where will the revenue come from?"

Punjab's record in tax mobilisation is among the poorest of the major states. In 1994, the state's own tax revenue to GSDP ratio was 7.6 per cent while that of Haryana was 6.2 per cent. In 2006-07, Haryana climbed up to 9 per cent while Punjab had only inched up to 7.6 per cent.

With just about 1 per cent of GSDP

RICH FOLKS, POOR STATE

- Punjab's debt is a staggering Rs 63,000 cr and going up
- Annual bill of subsidies: Nearly Rs 4,500 cr which include Rs 3,142 cr free power to farmers; Rs 500 cr for social security schemes and the Rs 300-cr atta dal scheme
- Since 2007, the Shiromani Akali Dal Government has raised loans worth Rs 15,000 crore for daily expenses and salaries
- Most of the funds under Central schemes are unused as the state has no money to contribute its share for the projects
- With the Sixth Pay Commission adding about Rs 30,000 crore to the debt burden, it will be hard to pay salaries after April if no help comes in immediately from the Centre
- In its report to the chief minister, the Punjab Committee on Resource Mobilisation has recommended introducing more taxes to mop up Rs 4,000 crore and raising VAT from 4% to 5%.

ing country was waging and that the whole nation must pitch in for it.

Right now Punjab is staring at an inevitable financial crisis with the Finance Department and everyone else in the administration clueless about what to do. It's the bills of subsidies that pinch more than anything else. The debt-ridden state gives free power to thousands of farmers

his own uncle-cum-Chief Minister Parkash Singh Badal and cousin and Deputy Chief Minister Sukhbir Badal. "All leaders understand what the problem is. But who will bell the cat? No one wants to offend the voters. It's like the Iraq war we are in where we don't know how to get out. The solution is simple: subsidies must go. What we should know is that time

in 2008-09, the non-tax revenue of Punjab has been virtually stagnant. Out of this, a major chunk comes from earnings of lotteries. Its boards and corporations are major losers: the Punjab Roadways, PPSU Road Transport Corporation and the Punjab State Electricity Board all pile up their respective losses each year.

Some regressive steps further